

Below is a review-ready conceptual paper. It deliberately separates the long-term conceptual direction from the increments through which VSM7 can realistically reach it.

VSM7 Lifecycle Extension

A Cybernetic Framework for Analysis, Design, Comparison, Deployment, and Organizational Learning

Status: Conceptual paper for final methodological and product review

Scope: Product direction, lifecycle logic, conceptual artifacts, and incremental development path

Primary review question: Does this extension preserve the logic of the Viable System Model while remaining lean enough for workshops and realistic enough for incremental product development?

1. Executive Proposition

VSM7 currently provides substantial support for designing a viable organization through the seven VSM design steps. It also contains an initial implementation area.

What is missing is a coherent lifecycle around that design work:

- An initial Analysis Phase that establishes the current situation and Need for Change
- A persistent Before/After comparison
- An explicit transition decision between design and action
- A Deployment Phase that realizes the accepted design
- A Review loop that observes outcomes and creates new evidence

The proposed lifecycle is:

Mandate



Analysis



Design



Transition Decision



Deploy



Review



New Evidence / Next Cycle

Three cross-phase lenses accompany this lifecycle:

Compare • Traceability • Communication

The underlying cybernetic logic is:

Reference

- Observation
- Interpretation
- Design
- Comparison
- Decision
- Intervention
- Feedback
- Adaptation

VSM7 should therefore evolve from a design-step application into a workshop environment that supports an ongoing organizational control loop.

This does not mean that every element described in this paper should be built immediately. The concept is a directional model for a product development journey. Each increment should deliver independent workshop value, produce usage evidence, and influence the next increment.

The development of VSM7 should itself operate as a learning loop:

Concept

- Product Increment
- Workshop Use
- Evidence
- Product Finding
- Product Decision
- Next Increment

The concept is the beginning of the journey, not a frozen prediction of its end state.

2. Purpose of the Extension

The extension should enable a VSM7 project to answer five distinct questions.

Mandate

Why are we undertaking this inquiry, and what should become possible?

Analysis

What is happening in the current system, and why does it matter?

Design

What viable system should exist?

Deploy

How will the organization move toward the accepted design?

Review

What actually changed, and did the original situation improve?

The Before/After comparison supports these questions without becoming an additional method phase.

3. Cybernetic Interpretation

The proposed lifecycle follows the general logic of a control loop.

A control loop requires:

- A reference condition or intended effect
- Observation of the current system
- A model or interpretation of relevant conditions
- Detection of meaningful differences
- Selection of a response
- Intervention in the system
- Feedback about actual effects
- Adaptation when the response does not produce the intended result

The VSM7 lifecycle provides corresponding capabilities:

Cybernetic Function	VSM7 Capability
Reference condition	Mandate and intended effects
Observation	Evidence and current-state snapshot
Interpretation	Findings and viability tensions
Model of the desired system	VSM Design Steps I–VII
Comparator	Before/Target/Observed comparison
Selection	Design decisions and Transition Decision
Intervention	Deployment initiatives
Feedback	Initiative and System Reviews

Adaptation	New findings, re-baselining, and renewed design
------------	---

This is a cybernetic interpretation of the project lifecycle. It should not be read as a literal one-to-one assignment of every lifecycle phase to a single VSM system.

The lifecycle must nevertheless remain recognizably VSM-based. It should pay particular attention to:

- System identity and purpose
- System-in-Focus
- Recursion
- Operative autonomy
- Coordination
- Resource and performance control
- Independent verification through S3*
- Environmental intelligence
- Policy and normative closure
- Variety
- Communication channels
- Algedonic escalation
- Recursive learning

4. Terminology and Structural Clarity

4.1 Lifecycle Phases

The lifecycle phases are:

Mandate → Analysis → Design → Deploy → Review

A Transition Decision forms the explicit decision gate between Design and Deploy.

4.2 Cross-Phase Lenses

The following are not method phases:

- Compare

- Evidence
- Decisions
- Traceability
- Communication
- Exports

They are cross-phase capabilities or workspaces.

Compare may appear prominently in navigation because it is important to users, but it does not constitute an eighth VSM design step or a separate organizational intervention phase.

4.3 Three Organizational States

The phrase “Before/After” is useful but potentially ambiguous. Three states must be distinguished.

Before

The current-state baseline established during Analysis.

Intended After

The target state created during Design.

Observed After

The organizational reality observed after deployment activities.

Before Deployment, the comparison is primarily:

Before ↔ Intended After

After Deployment, the complete comparison becomes:

Before ↔ Intended After ↔ Observed After

An accepted target design must never automatically become the next Before. Only an observed and deliberately re-baselined organizational reality can become the baseline for a new cycle.

5. Mandate

5.1 Purpose

The Mandate establishes the reference conditions for the inquiry.

It should define why the project exists without prematurely prescribing the organizational solution.

5.2 Mandate Content

The Mandate should capture:

- Trigger for the project
- Project purpose
- Sponsor
- Preliminary System-in-Focus
- Relevant environment
- Preliminary scope
- Participants and stakeholder groups
- Important assumptions
- Constraints and non-negotiables
- Decisions the project should enable
- Intended effects
- Observable signals of improvement
- Review horizon
- Conditions requiring escalation or renewed authorization

Intended effects are not completion scores. They are reference signals against which later observations can be interpreted.

Examples include:

- Operational decisions can be taken at the appropriate recursion level.
- Senior management spends less time resolving routine operational exceptions.
- Strategic intelligence influences resource and priority decisions.
- Critical end-to-end work has identifiable accountability.
- Important control loops no longer depend exclusively on personal relationships.

5.3 System-in-Focus as Hypothesis

The initial System-in-Focus is provisional.

Analysis may reveal that:

- The boundary is too narrow

- The boundary is too broad
- The relevant tension belongs at a higher recursion level
- Important operative units lie outside the original scope
- Required participants are missing
- The mandate does not provide authority to address the diagnosed issue

At the close of Analysis, the System-in-Focus should therefore pass through an explicit checkpoint.

Possible outcomes are:

- Confirm the original System-in-Focus
- Revise the boundary within the existing mandate
- Reconfirm scope and participation with the sponsor
- Escalate a finding to a higher recursion level
- Create a linked inquiry for another recursive system
- Stop because the original mandate does not cover the actual issue

5.4 Relationship to the Existing Product

The existing Project Frame should become the foundation of the Mandate rather than being duplicated.

Existing information about purpose, customers, and the System-in-Focus can seed the Mandate.

The Project Overview should become a read-mostly lifecycle dashboard showing:

- Current phase
- Important open findings
- Major decisions
- Transition status
- Upcoming reviews
- Current System-in-Focus
- Latest baseline date

6. Analysis

6.1 Purpose

Analysis should create a sufficiently credible understanding of the current system to begin responsible design.

Its central question is:

What is happening in the current system, why does it matter, and what must Design address?

Analysis must remain lean. It is not intended to become:

- A complete organizational audit
- A comprehensive process repository
- A duplicate of the seven Design steps
- A generic current-state consulting study
- An automated organizational diagnosis
- A hidden target-design exercise

6.2 Analysis Structure

Analysis should contain four compact areas:

1. Analysis Frame
2. Current-State Snapshot
3. Findings and Viability Tensions
4. Need for Change and Design Brief

6.3 Analysis Frame

The Analysis Frame translates the Mandate into a focused inquiry.

It captures:

- The questions to be answered
- The relevant System-in-Focus hypothesis
- Relevant recursion levels
- Stakeholder perspectives
- Evidence sources
- Time horizon

- Assumptions
- Known constraints
- Areas explicitly excluded from the inquiry

The frame protects Analysis from becoming an unlimited collection exercise.

6.4 Current-State Snapshot

The Current-State Snapshot is the lean Before baseline.

It should record addressable statements about the current system rather than reproduce the complete target-state model.

Relevant areas may include:

- Identity and purpose
- Environment
- Customers and beneficiaries
- Products, services, and value creation
- Current operative organization
- Existing recursion
- Operational variety
- Important dependencies
- Decision-making
- Coordination
- Resource negotiation
- Performance control
- Independent verification and audit through S3*
- Environmental intelligence
- Policy and normative direction
- Formal and informal communication channels
- Recurring escalations
- Strengths and successful coping mechanisms

A distinction must be maintained between:

- **Formal reality:** what structures, policies, responsibilities, and organization charts prescribe
- **Operating reality:** how work, communication, coordination, and decisions actually occur

A statement may be classified as:

- Known
- Unknown
- Disputed

It may also identify whether it describes:

- Formal reality
- Operating reality
- Both
- A mismatch between them

The presence of uncertainty is legitimate evidence. VSM7 should not force the workshop to invent certainty where none exists.

6.5 VSM-Based Interpretation Without Premature Design

The snapshot may be interpreted through VSM lenses, but current reality should not be forced into an artificially tidy S1–S5 representation.

During enrichment, observations and findings may be associated with:

- S1 operations and autonomy
- S2 coordination
- S3 control, optimization, and resource negotiation
- S3* independent verification
- S4 environmental intelligence and future orientation
- S5 identity, policy, and normative closure
- A specific communication channel
- A recursion level
- The relationship between recursion levels
- The complete System-in-Focus

- An unresolved or unclear systemic location

A finding may relate to several systems or channels. The systemic locator should support interpretation, not manufacture precision.

6.6 Evidence, Observations, and Findings

These concepts should remain distinct.

Evidence

Material that can support or challenge an observation or finding.

Examples:

- Interview note
- Workshop statement
- Document
- Decision record
- Meeting observation
- Process evidence
- Existing metric
- Stakeholder response
- Review outcome

Observation

A description of something seen, heard, or recorded.

Example:

Nine of twelve sampled operational exceptions were escalated to senior management.

Finding

A human-authored interpretation of one or more observations.

Example:

Local decision authority and escalation conditions are unclear, causing routine variety to be absorbed at a higher recursion level.

A finding should not be presented as automatic organizational truth.

6.7 Capture First, Enrich Later

Live workshop capture must be fast.

An initial finding may require only:

- Short title
- Observation
- One relevant tag or scope reference

Additional information can be added after capture:

- Evidence
- Affected scope
- Stakeholder perspectives
- VSM locator
- Consequence
- Existing compensating mechanism
- Severity
- Confidence
- Status
- What would resolve uncertainty
- Design hypothesis

A visible enrichment queue can identify findings that require further work.

Exact field counts, text limits, and work-in-progress caps should be tested through workshop use. They are product-design mechanisms, not immutable methodological rules.

6.8 Finding Status and Disagreement

Findings should support at least these conceptual states:

- Draft
- Agreed
- Contested

- Parked

A contested finding should capture:

- The differing interpretations
- Stakeholders associated with each perspective
- Evidence supporting each position
- What could resolve the disagreement
- Whether an experiment or independent S3* check is appropriate

Disagreement is not merely weak confidence. Two stakeholders can hold opposing positions with high confidence. The disagreement itself may reveal a broken coordination, control, or verification channel.

Confidence and severity must therefore remain separate.

6.9 Need for Change

The Need for Change is the principal communicative outcome of Analysis.

It should explain:

- Why action is being considered
- Why action is relevant now
- Which aspects of the current system are under pressure
- What happens if nothing changes
- Which strengths must be preserved
- What the organization must become capable of doing
- What remains uncertain

It should not prescribe the target organization.

A useful distinction is:

Analysis: Why must something change?

Design: What should change?

Compare: Who and what will be affected?

Deploy: How will the change be realized?

6.10 Design Brief

The Design Brief translates Analysis into questions and constraints for the seven design steps.

It includes:

- Priority findings
- Strengths to preserve
- Design questions
- Design hypotheses
- Constraints
- Unresolved tensions
- Areas requiring experimentation
- Matters outside the current mandate
- Findings pointing to another recursion level

“Design hypothesis” is preferable to “design implication” where Analysis has not yet justified a specific response.

A hypothesis may later be:

- Accepted
- Modified
- Rejected
- Partially addressed
- Deliberately left unresolved

6.11 Analysis Boundaries

Analysis should not:

- Select the final segmentation
- Define the final recursion structure
- Produce the definitive SCT set
- Allocate final central and decentralized responsibilities
- Assign SCT contributions to VSM systems
- Design target communication loops

- Define target roles or meetings
- Produce the final transformation backlog

Analysis may identify tensions in all these areas, but the corresponding decisions belong in Design.

For example:

Analysis finding:

Routine decisions are unnecessarily escalated.

Design decision:

Defined categories of decisions are allocated to the relevant operative units.

Delta:

Authority moves closer to operations while explicit escalation conditions are introduced.

Deployment action:

Decision guidelines, role changes, and new review practices are introduced.

6.12 Analysis Sufficiency

Analysis is sufficiently mature when there is reasonable agreement about:

- The System-in-Focus or the need to revise it
- Important environmental pressures
- Existing strengths
- Priority viability tensions
- The Need for Change
- Relevant uncertainties
- Questions Design must answer

No step or phase completeness percentage should be calculated.

The facilitator decides whether the baseline is sufficiently credible to support Design.

7. Baseline Lifecycle

7.1 One Project, Not Two Workspaces

The Before must not become a duplicate VSM workspace.

A project contains:

- A lean Analysis baseline
- The live canonical Design artifacts
- Links between them
- Later observations of realized reality

The baseline contains addressable current-state statements. The target side references canonical VSM7 entities such as:

- Organizational units
- Recursion entries
- SCTs
- SCT contributions
- VSM systems
- Communication loops
- E2E routes
- Roles
- Meetings
- Accountabilities

Canonical target artifacts must be referenced through stable identities rather than copied into comparison records.

7.2 Baseline Lock

The baseline remains editable during Analysis.

When the Design Brief is accepted:

- The baseline is locked
- Its date and version remain visible
- Design begins against that explicit baseline

This does not imply that reality stops changing. It ensures that comparisons retain meaning.

7.3 Re-Baselining

If the current situation changes materially during a long design process, a human may re-baseline.

Re-baselining should:

- Create a new baseline version
- Preserve the previous version
- Record why the baseline changed
- Flag affected comparisons for review
- Avoid silently rewriting historical reasoning

Every comparison should show the baseline version and age against which it was created.

7.4 Next-Cycle Baseline

After Deployment and Review, observed reality may become the baseline for a new cycle.

The next baseline is based on verified or sufficiently credible observations, not merely on the approved target design.

8. Design

8.1 Purpose

Design answers:

What viable system should exist?

The existing VSM Steps I–VII remain the core Design Phase:

1. Operative Units
2. Manageability
3. SCTs
4. Central/Decentral
5. Design Steering System
6. Channels
7. Representation

8.2 Relationship to Analysis

Analysis provides:

- Findings
- Strengths
- Design questions
- Design hypotheses
- Constraints
- Systemic tensions
- Evidence

Design creates:

- Target operative units
- Target recursion
- Canonical SCTs
- SCT contributions
- Central and decentralized allocations
- VSM-system assignments
- Communication routes and loops
- Roles
- Meetings
- Accountability
- Representation

The distinction must remain explicit:

Analysis	Design
Describes the current operative reality	Selects target operative units
Observes current recursion	Defines intended recursion
Identifies critical responsibilities	Defines canonical SCTs
Observes authority and escalation	Allocates target decision rights
Observes steering capabilities	Designs the target steering system
Identifies communication weaknesses	Designs target channels
Observes roles and meetings	Defines target accountability and representation

8.3 Design Responses

A lightweight Design Response should connect Analysis findings to target artifacts.

A Design Response records:

- Finding or findings being addressed
- Target design artifact
- Response stance
- Short rationale

Possible stances are:

- Addresses
- Partially addresses
- Deliberately does not address
- Requires another design decision
- Outside the current design scope

A finding may have several Design Responses, and one target artifact may respond to several findings.

This enables traceability without requiring a large separate decision bureaucracy.

8.4 Decision Records

Important choices should also support a concise Decision Record.

A Decision Record may capture:

- Decision
- Alternatives considered
- Rationale
- Relevant findings
- Affected target artifacts
- Decision owner
- Date
- Conditions
- Review trigger

Not every workshop selection needs a formal Decision Record. It is intended for consequential or contested choices whose reasoning should remain visible.

8.5 VSM Integrity

The target design must preserve the existing VSM7 method boundaries:

- SCTs remain canonical entities.
- SCT contributions enrich those SCTs across recursion levels.
- Step V assignments reference actual R0/SIF contributions.
- Communication loops remain explicit.
- S3* remains distinct.
- R0/SIF is the default lens in multi-level views.
- Lower and higher recursion levels remain available.
- Step VII accountability enriches canonical SCTs and contributions.
- No comparison or deployment feature creates disconnected copies of SCTs.

The standalone VSM map remains available in addition to its Step V role.

9. Compare Lens

9.1 Purpose

Compare is the cybernetic comparator.

It identifies meaningful differences between:

- Current baseline
- Intended target
- Observed result

It should answer:

- What exists today?
- What should exist?
- What has actually been realized?
- What is changing?

- What is staying?
- What is being strengthened?
- What is being introduced?
- What is being retired?
- What remains uncertain?
- What requires deployment action?
- What has produced an unintended effect?

9.2 Comparison Dimensions

Dimension	Before	Intended After	Observed After
Identity and	Current practical	Designed System-in-Focus	Actual operating boundary
Operative units	Existing	Selected segmentation	Realized operative structure
Recursion	Current nesting	Intended recursion	Actual decision and
Variety	Current pressures and coping	Intended attenuation and amplification	Observed ability to absorb variety
Critical work	Existing	Canonical SCTs	Work actually performed and
Decision rights	Current authority	Intended allocation	Decisions actually taken at
Coordination	Existing	Designed S2 capability	Coordination observed in
Control	Existing S3 practices	Intended S3 relationships	Actual resource and performance regulation
Independent verification	Existing S3* capability	Intended assurance channels	Verification operating in practice
Intelligence	Existing S4	Intended environmental	Strategic intelligence actually
Policy and	Existing S5 practice	Intended normative closure	Actual policy coherence
Communication	Existing channels	Designed channels and	Channels actually used
Representation	Existing roles and	Target accountability	Roles and meetings operating

9.3 Asymmetry

The Before and Intended After do not need equal detail.

The current state may legitimately be:

- Informal
- Unclear
- Inconsistent

- Disputed
- Dependent on individuals
- Distributed across several mechanisms
- Unknown

The target state may be more explicit.

This asymmetry prevents Analysis from becoming a complete reverse-engineering exercise.

9.4 Delta Model

Three concerns must remain separate.

Change Type

- Keep
- Strengthen
- Clarify
- Change
- Introduce
- Retire

“Introduce” implies that no equivalent baseline reference exists.

“Retire” implies that no retained target reference exists.

Disposition

- Proposed
- Accepted
- Deferred
- Rejected
- Investigating

Disposition is set by a human decision.

Deployment Validation

A separate indication records whether the delta must be validated during Deployment.

“Validate during Deployment” is not a change type.

9.5 Comparison Views

Finding-Level Traceability

Shows:

Finding → Design Response → Target Artifact

This is the lightest and earliest useful Compare view.

Structural Comparison

Shows baseline statements against canonical target artifacts.

Multi-level views default to R0/SIF while allowing explicit access to other recursion levels.

Executive Comparison

Shows the most consequential changes:

- Current tension
- Target principle
- Expected effect
- Affected stakeholders
- Deployment disposition

Observed-Outcome Comparison

After Deployment, shows:

- Intended effect
- Observed effect
- Supporting evidence
- Remaining gap
- Required response

10. Stakeholders and Change Impact

10.1 Canonical Stakeholder Groups

Stakeholder groups should receive stable identities from the Mandate onward.

The same group can then be referenced by:

- Analysis perspectives
- Contested findings
- Design participation
- Change impacts
- Communication activities
- Stakeholder responses
- Deployment initiatives
- Reviews

Group names may change without breaking their relationships.

A stakeholder group is distinct from a communication or deployment owner, who may be a named person or organizational role.

10.2 Change Impact

After Design, accepted or proposed deltas can be interpreted as stakeholder impacts.

An impact may describe:

- Current experience
- Intended future experience
- What changes
- What remains unchanged
- New authority
- New accountability
- New expected behaviour
- Affected processes
- Affected channels
- Affected meetings
- Expected benefit
- Likely concern
- Timing

- Participation requirement

Impact assessment remains human-led. The system may suggest connections but should not declare stakeholder consequences automatically.

11. Need for Change and Communication

11.1 Two-Stage Narrative

The change narrative develops in two stages.

Analysis Narrative: Why Change?

Derived from:

- Evidence
- Findings
- Viability tensions
- Existing strengths
- Consequences
- Risks of inaction

Post-Design Narrative: What Will Change?

Derived from:

- Design decisions
- Before/Target deltas
- Stakeholder impacts
- Transition Decision
- Deployment sequence

This prevents Analysis from pretending that the target solution is already known.

11.2 Communication as a Control Relationship

Communication is not merely the publication of project messages.

Cybernetically, communication should:

- Convey intended distinctions

- Support coordinated action
- Carry questions and objections back
- Detect misunderstanding
- Reveal unexpected variety
- Trigger adaptation where necessary

Every relevant communication activity should therefore allow stakeholder responses to become evidence.

The loop is:

Message

- Stakeholder interpretation
- Question, objection, or signal
- Evidence
- Finding or adjustment

11.3 Overall Change Narrative

The project-wide narrative should explain:

- Why the inquiry began
- What Analysis found
- What already works
- What requires change
- What the target design should enable
- Which decisions have been made
- What remains uncertain
- How Deployment will proceed
- How people can participate
- How feedback will influence the transition

11.4 Audience-Specific Communication

For each stakeholder group, communication should clarify:

- What this means for the group
- What changes

- What stays
- What is not yet decided
- What action is expected
- When the effect will be felt
- Where questions can be raised
- Who will respond
- How feedback will be considered

11.5 Communication Across the Lifecycle

Mandate

Why are we beginning this inquiry?

Analysis

What are we hearing and observing?

Design

What possibilities and trade-offs are being considered?

Transition Decision

What has been decided, by whom, and under which conditions?

Deploy

What changes for whom, when, and with what support?

Review

What did we observe, what did stakeholders report, and what must be adjusted?

12. Transition Decision

12.1 Purpose

Individual accepted deltas do not constitute a committed transformation program.

The Transition Decision is the explicit control point between Design and Deploy.

It determines whether and how the organization will act on the target design.

12.2 Decision Outcomes

Possible outcomes include:

- GO
- Partial GO
- Pilot first
- Defer
- NO-GO
- Escalate to a higher recursion level

NO-GO is a valid outcome. A design project may produce valuable understanding even when the organization chooses not to deploy the proposed changes.

12.3 Transition Decision Content

The decision should record:

- Decision outcome
- Approved target scope
- Included deltas
- Deferred or excluded deltas
- Deployment waves
- Sponsor
- Authority for the decision
- Budget and timing envelope
- Intended effects
- Success signals
- Major constraints
- Transition risks
- Review cadence
- Conditions requiring renewed decision
- Algedonic thresholds

- Communication commitment

12.4 Algedonic Conditions

Some transition conditions require immediate escalation rather than waiting for a scheduled review.

Examples include:

- A critical operative capability is disrupted
- A transition risk exceeds an agreed threshold
- A key accountability remains unassigned
- A required communication loop fails
- The target design creates unacceptable operational overload
- The original System-in-Focus is no longer valid
- Stakeholder resistance signals a material misunderstanding or viability risk

Each important threshold should have a predefined response, such as:

- Notify sponsor
- Pause a deployment wave
- Reopen a decision
- Initiate an independent review
- Return to Design
- Escalate to a higher recursion level

13. Deploy

13.1 Purpose

Deploy answers:

How will the organization move toward the accepted design while remaining viable during the transition?

Deployment is not only project execution. It is the regulated intervention through which the target design is tested against organizational reality.

13.2 Relationship to Existing Implementation Support

Deploy should evolve the existing Implementation step.

It should not create:

- A second implementation area
- A parallel backlog
- A separate source of truth
- Duplicated deployment records

The existing Implementation navigation label can become “Deploy,” while Deployment remains the formal phase name.

13.3 Deployment Capabilities

Deploy includes:

- Transformation backlog
- Candidate inbox
- Initiatives and work packages
- Deployment waves
- Owners
- Milestones
- Dependencies
- Transition risks
- Pilots and experiments
- Communication activities
- Adoption support
- Review triggers
- Follow-up decisions

13.4 Sources of Deployment Work

Deployment candidates may originate from:

- Analysis findings
- Design decisions
- Accepted deltas

- Stakeholder impacts
- E2E findings
- Communication-variety weaknesses
- Transition risks
- Stakeholder responses
- Review findings

Creation of a committed backlog item remains an explicit human action.

Every item should retain its source. If the source is later changed or removed, the deployment item remains and visibly reports that the source is detached.

13.5 Deployment Through Waves and Experiments

The target design need not be deployed all at once.

Possible approaches include:

- Pilot within one operative unit
- Introduce a single communication loop
- Test revised decision rights
- Trial a new meeting and agenda structure
- Establish one S3* verification mechanism
- Deploy one cluster of related SCT accountabilities
- Run a limited E2E process experiment

Pilots and staged waves reduce transition variety and create early feedback.

They should not become an excuse to avoid a clear intended target. The distinction between experimental action and committed target design must remain visible.

14. Review

14.1 Purpose

Review closes the organizational control loop.

It asks whether:

- Deployment activity occurred

- Target capabilities were actually established
- Intended effects appeared
- Original findings improved
- New tensions emerged
- The design remains appropriate
- The baseline should be updated

14.2 Initiative Review

The initiative owner examines:

- Was the item completed?
- Was it adopted?
- Were milestones met?
- Were dependencies resolved?
- Did the intended local effect occur?
- Which obstacles remain?
- Is further action required?

Completion is not proof of organizational effect.

14.3 System Review

The sponsor and facilitator examine:

- Did the original viability tension improve?
- Can the intended decisions now be taken?
- Has variety moved to a more appropriate level?
- Are operative autonomy and cohesion better balanced?
- Are communication loops functioning?
- Does independent S3* evidence support the reported outcome?
- What do the original stakeholder groups now report?
- Were unintended consequences created?
- Does the design require revision?

- Is a new Analysis cycle required?

System Review should use evidence beyond initiative-owner self-reporting.

Possible sources include:

- Re-interviews
- Workshop review
- Observed decisions
- Meeting records
- Process evidence
- Channel use
- Independent verification
- Stakeholder responses
- Relevant performance signals

14.4 Review Cadence

The Transition Decision establishes the initial review cadence.

Reviews may be:

- Event-triggered
- Milestone-based
- Scheduled after a deployment wave
- Triggered by an algedonic condition
- Requested by the sponsor or affected operative units

14.5 Review Outcomes

A Review may result in:

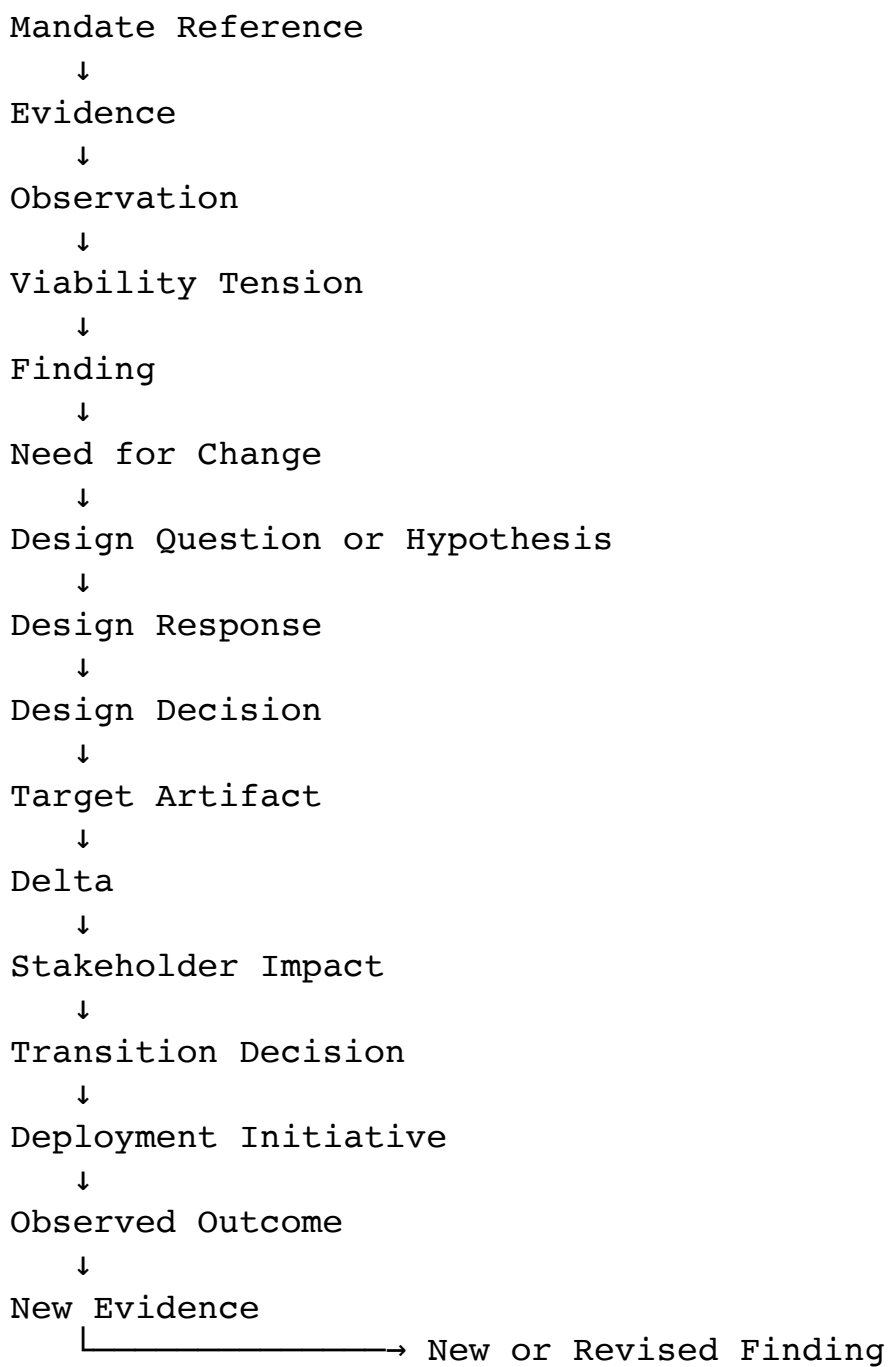
- Confirm intended effect
- Continue observation
- Adjust a deployment item
- Add a new deployment item
- Reopen a Design Decision

- Record a new finding
- Re-baseline the current state
- Begin another lifecycle cycle
- Escalate to another recursion level

Observed outcomes become new evidence.

15. Complete Traceability Loop

The complete conceptual chain is:



This is not a mandatory linear workflow for every artifact.

Examples:

- An observation may remain contextual.
- A finding may not require a design response.
- A design decision may respond to several findings.
- One delta may affect several stakeholder groups.
- A deployment initiative may realize several deltas.
- An observed outcome may challenge the original diagnosis.
- A finding may point outside the current mandate.
- A Transition Decision may deliberately reject or defer a proposed change.

Traceability supports judgment. It does not replace judgment.

16. Conceptual Artifact Set

The long-term conceptual model contains the following artifacts.

Mandate

Defines purpose, scope, reference signals, sponsorship, and intended effects.

Stakeholder Group

Provides a stable identity for a relevant audience or perspective.

Analysis Baseline

A versioned current-state snapshot.

Baseline Statement

An addressable statement about current formal or operating reality.

Evidence Item

Supports or challenges observations, findings, or outcomes.

Finding

A human-authored interpretation of a relevant viability condition.

Need for Change

Explains why intervention should be considered.

Design Brief

Defines questions, hypotheses, constraints, and strengths for Design.

Design Response

Connects a finding to a target design artifact.

Decision Record

Preserves the reasoning behind a consequential choice.

Delta

Describes a meaningful difference between baseline and target.

Stakeholder Impact

Describes what one or more deltas mean for a stakeholder group.

Transition Decision

Authorizes, limits, defers, pilots, or rejects deployment.

Deployment Item

Represents work intended to realize part of the accepted design.

Communication Activity

Carries a relevant message to a stakeholder group.

Stakeholder Response

Returns questions, objections, observations, or signals.

Review

Assesses initiative completion or systemic effect.

Observed Outcome

Records what happened and becomes potential evidence.

This is a conceptual inventory, not a requirement to expose every artifact as a separate screen or build them all in the first increment.

17. Proposed Navigation Direction

Project Overview

Mandate

Analysis

- Analysis Frame
- Current-State Snapshot
- Findings
- Need for Change
- Design Brief

Design

- I. Operative Units
- II. Manageability
- III. SCTs
- IV. Central / Decentral
- V. Design Steering System
- VI. Channels
- VII. Representation

Compare

- Finding Traceability
- Structural Comparison
- Executive Comparison
- Stakeholder Impacts
- Observed Outcomes

Deploy

- Candidate Inbox
- Transformation Backlog
- Roadmap and Waves
- Owners and Milestones
- Dependencies and Risks
- Communication and Adoption

Review

Initiative Reviews

System Reviews

New Evidence and Re-Baselining

VSM Map

Evidence, Decisions, Traceability, and Exports may be accessed contextually rather than becoming additional top-level phases.

The existing export capability should be extended with additional export targets rather than replaced by a separate export system.

Potential future exports include:

- Analysis Summary
- Need for Change
- Design Brief
- Executive Before/After Comparison
- Transition Decision
- Change Narrative
- Deployment Roadmap
- System Review

18. Workshop Usability Principles

The concept must survive live facilitation.

Capture First

Immediate capture should be brief and forgiving.

Enrich Later

Diagnostic depth can be added after the workshop moment has passed.

Facilitation Visibility

Findings, tensions, design responses, and comparisons should be suitable for projection and group discussion.

Explicit Uncertainty

Unknown and contested states should be visible.

Limited Active Attention

The product should help facilitators prioritize, merge, or park material when too many items compete for attention.

Exact work-in-progress limits should emerge from workshop testing.

No Forced Exhaustiveness

Snapshot areas may be marked as not relevant to the mandate.

No Completeness Percentages

Methodical sufficiency remains a facilitator judgment.

Preserve Context

Movement between a finding and the relevant design artifact should not make facilitators lose their place.

Human Authorization

Diagnosis, target decisions, delta disposition, backlog conversion, and re-baselining require explicit human action.

19. Incremental Product Development

19.1 The Concept Is a Direction, Not a Delivery Promise

This paper describes a coherent long-term model.

It does not imply that:

- Every artifact must be implemented immediately
- The initial data model will never change
- Every proposed interaction will work in practice
- The complete lifecycle can be designed without workshop feedback
- Later increments should be predetermined in detail

VSM7 will reach this direction through product increments.

Each increment should:

- Deliver independent user value
- Preserve existing canonical data
- Avoid parallel sources of truth
- Produce evidence from real workshop use
- Leave room for correction
- Support later extension without requiring speculative complexity

19.2 Product Development as a Control Loop

The product journey should follow the same logic advocated for organizational work:

Product intention
→ Small implementation
→ Real workshop use
→ Observation
→ Product finding
→ Design adjustment
→ Next increment

The conceptual model is therefore a reference condition. It should guide development while remaining open to evidence.

19.3 Suggested Increment Sequence

Increment 1: Lean Analysis Foundation

Deliver:

- Mandate extension
- Analysis Frame
- Lean current-state statements
- Fast finding capture
- Finding enrichment
- Agreed and contested statuses
- Need for Change
- Design Brief
- Baseline acceptance and date

- Initial Finding-to-Design Response
- Rename existing Implementation to Deploy

This increment creates immediate workshop value without requiring the full delta model.

Increment 2: Traceability and Transition

Deliver:

- Design Responses on relevant design surfaces
- Finding-level Compare view
- Lightweight Decision Records
- Baseline versioning
- Explicit Transition Decision
- Additional deployment source types
- Candidate-inbox integration

This increment connects Analysis to Design and prevents Deployment from becoming a disconnected backlog.

Increment 3: Structural Comparison

Deliver:

- Formal delta model
- Before/Intended-After comparison
- Change type and disposition
- Baseline-to-canonical-artifact references
- Structural comparison views
- Executive comparison
- Baseline age and re-baseline warnings

This is likely the most structurally demanding increment and should build on evidence from the earlier traceability view.

Increment 4: Stakeholder Impact and Communication

Deliver:

- Canonical stakeholder groups

- Stakeholder impact assessment
- Overall change narrative
- Audience-specific communication
- Stakeholder response capture
- Feedback into evidence and findings

This turns communication from one-way publication into a feedback channel.

Increment 5: Review and Recursive Learning

Deliver:

- Initiative Review
- System Review
- Independent verification support
- Observed-After comparison
- Review-triggered findings
- Re-baselining
- Algedonic thresholds and predefined responses
- New-cycle initiation

This closes the full control loop.

19.4 Sequencing Is Provisional

The increments above are a hypothesis.

They should be revised when product evidence shows that:

- Facilitators need a different sequence
- A supposedly simple artifact creates excessive workshop friction
- Users derive more value from another comparison view
- Existing product structures support a faster route
- A planned abstraction is unnecessary
- New methodical risks become visible

The development roadmap itself should be reviewed rather than treated as immutable.

20. Primary Risks and Guardrails

Analysis Becomes Too Heavy

Guardrail: Lean baseline, capture-first findings, explicit scope, and facilitator-controlled sufficiency.

Analysis Pre-Commits the Design

Guardrail: Use design questions and hypotheses; require explicit Design Responses and decisions.

Before Becomes a Duplicate Workspace

Guardrail: Store a lean baseline in the same project and reference canonical target artifacts.

The Target Is Mistaken for Reality

Guardrail: Distinguish Intended After from Observed After.

Compare Becomes a Static Presentation

Guardrail: Link findings, target artifacts, impacts, decisions, and deployment work.

Communication Becomes One-Way Broadcasting

Guardrail: Capture stakeholder responses and return them as evidence.

Review Relies on Owner Self-Reporting

Guardrail: Include System Review and independent S3* verification.

The Lifecycle Becomes a Waterfall

Guardrail: Allow findings, decisions, reviews, and new evidence to reopen earlier work.

VSM Becomes Generic Change Management

Guardrail: Preserve System-in-Focus, recursion, variety, S1–S5 including S3*, channels, autonomy, cohesion, and algedonic escalation.

VSM Terminology Slows Workshop Capture

Guardrail: Allow rapid plain-language capture and systemic enrichment later.

Product Scope Expands Too Quickly

Guardrail: Build useful increments, test them in workshops, and let evidence shape subsequent development.

21. Conceptual Decisions Proposed for Final Review

This paper proposes the following decisions:

1. VSM7 adopts the lifecycle phases Mandate, Analysis, Design, Deploy, and Review.
2. Compare is a persistent cross-phase lens, not a VSM method phase.
3. Before, Intended After, and Observed After are treated as distinct organizational states.
4. Analysis remains deliberately lean and does not duplicate the seven Design steps.
5. The Need for Change is an Analysis outcome.
6. Concrete stakeholder impacts are derived after target design through comparison.
7. The current-state baseline exists inside the same canonical project and is versioned.
8. Important findings connect to target artifacts through lightweight Design Responses.
9. A Transition Decision explicitly separates accepted design from authorized deployment.
10. Deploy evolves the existing Implementation area and does not create a parallel backlog.
11. Communication includes stakeholder response and operates as a feedback relationship.
12. Review is divided into Initiative Review and System Review.
13. Observed outcomes become new evidence.
14. Only observed and deliberately accepted reality may become the next baseline.
15. The concept will be developed incrementally and revised through actual product and workshop evidence.

22. Questions for Final Review

The final review should particularly challenge the following points:

1. Does the lifecycle form a valid cybernetic control loop?
2. Is the distinction between Before, Intended After, and Observed After methodically clear?

3. Is Analysis sufficiently lean while remaining recognizably VSM-based?
4. Does the concept protect the distinction between diagnosis and target design?
5. Is S3* independent verification sufficiently represented?
6. Does the Transition Decision provide an appropriate control point between Design and Deployment?
7. Does the comparison remain useful without requiring a complete duplicate model of the current organization?
8. Are Design Responses and Decision Records sufficiently lightweight for workshop use?
9. Does the communication concept contain an effective return channel?
10. Does Review genuinely close the loop rather than merely document completion?
11. Are the proposed artifacts conceptually necessary, or can some be combined without losing traceability?
12. Does the incremental sequence deliver useful capability at each stage?
13. Which proposed elements are foundational and must exist early?
14. Which elements should remain optional until workshop evidence demonstrates their value?
15. Where does the concept still risk becoming a generic transformation-management system rather than a VSM workshop application?

23. Final Position

The intended evolution of VSM7 can be summarized as:

Mandate establishes the reference.

Analysis observes and interprets the current system.

Design creates an intended viable system.

Compare makes meaningful differences visible.

The Transition Decision selects an authorized response.

Deploy intervenes in organizational reality.

Review observes the effects.

Observed effects become new evidence.

The organization and the product learn through repeated cycles.

VSM7 should not promise to engineer an organization from a perfect model.

It should help VSM experts maintain a coherent chain from evidence to diagnosis, from diagnosis to design, from design to deliberate intervention, and from intervention back to evidence.

The same humility applies to VSM7 itself. This conceptual framework establishes direction and protects important methodical boundaries. Its actual quality will be determined increment by increment, through use in real workshops, critical review, and continued learning.